

What is investing?

Give your money a chance to grow.

Fidelity Learn



Key takeaways

- Investing could give your money a chance to grow over time.
- People may invest in a range of securities, including mutual funds, ETFs, and individual stocks and bonds.
- All investing comes with risks, but there are ways to help manage it.

Jargon, colorful charts, and acronyms galore can make investing feel intimidating or complicated. But jumping in can be crucial for your long-term financial goals. Investing is a way to make your money work for you—and give it a chance to potentially grow more than it could sitting in a savings account. Here's what you need to know to get started.

What is investing?

Investing involves purchasing assets with the aim they'll either appreciate (aka grow) in value or generate income. People can invest in many ways, from buying gold or real estate to putting money toward building businesses and furthering their education.

In the financial world, investing most often refers to buying an asset, like individual stocks and bonds, mutual funds, or exchange-traded funds (ETFs), with the aim of potentially increasing your wealth over time. Some people invest to achieve specific near-term financial goals, like funding a trip, a car down payment, or a wedding, while others invest for bigger, long-term goals, like paying for college, buying a house, or saving for retirement.

How does investing work?

Investors aim to generate a return on their investments, most commonly through appreciation and income.

- **Appreciation** is when something grows in value. Think: when something's worth more than what you put in.
- **Income** is when an investment puts money in your pocket without you having to sell it. This could be through a dividend or an interest payment. You may be able to automatically reinvest this income to purchase more of the asset.

Notably, investing [Log in](#) works out over the long term, meaning years, if not decades. This makes it different from [trading](#), a similar technique that also involves buying and selling assets but aims to create profit over days, weeks, or months. Trading can be riskier than investing and requires deep understanding of market dynamics. Fidelity doesn't recommend you day-trade with substantial percentages of your money allocated for investing.

Why invest?

Two words: [compound returns](#). That's when your investment returns earn returns of their own, helping make it easier to achieve your financial goals, whether that's saving for retirement, educational expenses, or something else. Compare that with simple interest, what you'd earn on a deposit in a savings account, for example. With simple interest, interest payments are based only on the principal. Any accumulated interest doesn't impact future interest payments.

When you invest in the stock market, you're giving your money a chance to benefit from compound returns. Need an example? Let's examine the potential returns on a one-time \$6,000 bank deposit that earns simple interest vs. a one-time \$6,000 investment that benefits from compounding, assuming each earns a hypothetical 7% annual rate of return over the same timeframe.

After year 1, you could have identical balances: a \$420 increase for a total of \$6,420. A year later, simple interest would yield \$6,840 (\$6,000 + \$420 + \$420), and the compound-interest balance would be slightly higher at \$6,869.40 (\$6,420 + 7% rate of return, or \$449.40).

Over time the potential power of compounding could become significant. After 30 years, depending on market conditions and other factors, you could have about \$45,700 for your compounded investment vs. just \$18,600 in your simple-interest account—all without adding any more money.¹

Keep in mind that there are no guarantees with investing. You may lose money when you invest, including all of your initial investment. You can help manage that risk by using strategies like [diversification](#) and [dollar-cost averaging](#), though it's impossible to fully remove risk from the investing equation. Diversification doesn't ensure a profit or guarantee against loss.

Investment types

Stocks

When you think of investing, you probably think of [stocks](#). Stocks represent partial ownership of a company, and they may appreciate in value as companies become more successful or desirable. They also may generate income through [dividends](#), or regular payouts of profits that some companies pay to shareholders.

Remember: Not all companies offer dividends and stock values don't always go up. If share prices fall, you may wind up with stocks worth less than you paid for them.

Bonds

A [bond](#) is essentially a loan from an investor to a borrower. Borrowers may be anyone from federal and local governments to private companies. Investors generally expect to receive full repayment of the loan—plus interest—by the time the loan is due.

Bonds are generally considered to be a less volatile investment than stocks but often have lower returns. Both factors depend in part on the borrower's creditworthiness. The most trustworthy, like the US federal government, may offer more modest interest rates because they are unlikely to fail to repay what they borrow. Certain private companies may have to offer higher interest rates to entice investors if they have a higher chance of defaulting on repayment. Some high-yield bonds can even have stock-like risk of loss. There are also bonds with lower interest rates that can offer tax advantages, such as municipal bonds or Treasury bonds. Additionally, bond rates can be impacted by other factors, like current and expected future interest rates, and even inflation.

Funds

Investment funds are professionally managed pools of money or assets earmarked for a specific investing goal or objective and risk level, like matching the performance of the S&P 500® index. But past performance is no guarantee of future results.

Funds, due to their diversified nature, spread your dollars across many different investments. This may help to mitigate the impact should a single investment slump. The most common types of investment funds are [mutual funds](#) and [exchange-traded funds \(ETFs\)](#). Investment funds typically contain stocks, bonds, money markets, or a mix.

How to start investing

Starting investing can be as simple as opening an investment account and picking investments that align with your goals and risk tolerance. If you don't already have a brokerage—that's a company that helps you buy investments—be sure to ask yourself [these 5 questions](#) when you're deciding where to open an account.

Then [figure out what kind of investor](#) you want to be.

DIY investor

If you prefer to do it yourself, you might want to consider what are called self-directed brokerage accounts. As the name implies with self-directed investing, means you'll be picking funds, stocks, or bonds yourself and adjusting your portfolio yourself as it drifts over time due to market changes.

Hands-off investor

If you'd rather leave the heavy lifting of research and portfolio management to the pros, you may consider professionally managed accounts, such as a robo advisor. [Robo advisors](#) are an affordable digital financial service that uses technology to help automate investing based on information you provide about your financial situation.

If you want that human touch, you can also [hire a financial professional](#). They may be able to offer more personalized advice tailored to your specific financial situation and be able to answer questions you may have about your investments and investment strategies. This level of personal care does, however, typically come at a higher cost.

How to start investing

In this video, we'll guide you through the essential steps to financially prepare for investing. Discover your "why" behind investing, explore different types of accounts, and learn more about setting yourself up for success.

[View full transcript \(PDF\).](#)

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Using technical analysis

1. This hypothetical example assumes the following: (1) an initial \$6,000 contribution and no additional contributions; (2) An annual rate of return of 7% that accrues as simple and compound interest. (3) The ending values do not reflect taxes, fees, inflation, or withdrawals. If they did, amounts would be lower. This example is for illustrative purposes only and does not represent the performance of any security. Consider your current and anticipated investment horizon when making an investment decision, as the illustration may not reflect this. The assumed rate of return used in this example is not guaranteed. **Investments that have potential for 7% annual rate of return also come with risk of loss.**

This information is intended to be educational and is not tailored to the investment needs of any specific investor.

Investing involves risk, including risk of loss.

Stock markets are volatile and can fluctuate significantly in response to company, industry, political, regulatory, market, or economic developments. Investing in stock involves risks, including the loss of principal.

In general, the bond market is volatile, and fixed income securities carry interest rate risk. (As interest rates rise, bond prices usually fall, and vice versa. This effect is usually more pronounced for longer-term securities.) Fixed income securities also carry inflation risk, liquidity risk, call risk, and credit and default risks for both issuers and counterparties. Unlike individual bonds, most bond funds do not have a maturity date, so holding them until maturity to avoid losses caused by price volatility is not possible.

The S&P 500[®] Index is a market capitalization-weighted index of 500 common stocks chosen for market size, liquidity, and industry group representation to represent US equity performance.

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